

INTEREST RATE REDUCTION REFINANCE (IRRRL) — STANDARD & HIGH BALANCE

Occupancy	Max LTV/CLTV	Max Loan Amount	Min FICO	Max Ratios	Mortgage/Rental History
Owner Occupied	No limit	Per VA loan limits • 1–4 units	No minimum*	N/A, or 41% if PITI increasing 20%+	0x30 for last 12 months • current for month due
Non-Owner	No limit	Per VA loan limits • 1–4 units	No minimum*	N/A, or 41% if PITI increasing 20%+	0x30 for last 12 months • current for month due

*A FICO score is not required.

VA FUNDING FEE — APPLIES UNLESS VETERAN IS EXEMPT

Interest Rate Reduction Loans	Disabled Veteran (Service-Connected Disability)
0.50% regardless of subsequent use	Partial or full fee waiver as directed by VA

MAXIMUM LOAN AMOUNTS

Continental U.S., Alaska & Hawaii	Per VA loan limits for the maximum conforming loan amounts and maximum high balance loan amounts.
Maximum Loan Amount (Base)	The new loan amount may include the unpaid principal balance of the existing VA loan, allowable closing costs, prepaids, maximum 2 discount points, and the VA funding fee.

COLLATERAL

Condos	Must be a VA-approved condominium complex meeting all requirements.
Eligible Properties	Owner occupied, 1–4 units, PUDs, condos, investment properties, manufactured homes permanently affixed to the foundation, built on or after June 15, 1976, meeting all VA requirements. Single-wide manufactured homes must be currently serviced by UFF.
Ineligible Properties	Non-warrantable condos; mobile homes; single-wide manufactured homes; state-approved medical marijuana producing properties; co-ops; condo hotels; Energy Efficient Mortgages (EEM); PACE/HERO-encumbered properties; properties serviced by hauled water; properties with cisterns; wastewater stabilization ponds/lagoons; individual water purification systems required for safe drinking water; Hawaii properties with water catchment systems; Hawaiian properties in Lava Zones 1 and 2; and Department of Hawaiian Home Lands (DHHL) loans.
Recent MLS Activity / Listed for Sale	Property cannot be listed for sale at time of application. For streamline transactions without appraisals, the underwriter must validate current MLS activity through Redfin; if Redfin doesn't identify the property, an alternative search (e.g., Zillow) is acceptable.
Appraisal Requirements	No appraisal required.
Limitations on Other R.E. Owned	Maximum of 4 UFF loans or \$2,000,000, whichever is less.

TYPES OF FINANCING

Term Increase	The new loan term may not exceed the original term by more than 10 years, subject to a maximum of 30 years and 32 days. If the existing VA loan has been modified, the maximum term increase is based on the original term, not the modified term.
Interest Rate Decrease	The new rate must be less than the existing VA loan rate unless refinancing an ARM to fixed — see Net Tangible Benefit.
Payment Increase 20%+	Credit qualifying required. Repayment ability documented with a YTD paystub covering the most recent 30 days, 1 year W-2s, and verbal VOE; income-to-total-debt ratios must be manually calculated. See Credit Qualifying below.
IRRRL	Rate and term only. No cash back to borrower; incidental cash back not to exceed \$500.
Vendee Loans	Not permitted. Direct the borrower to the RLC of jurisdiction to pursue a direct refinance with the VA.

TYPES OF FINANCING	
Recoupment Period for Guaranty	Costs must be recouped within 36 months to be eligible for guaranty — calculated by dividing all fees, expenses, and closing costs by the reduction in monthly PI payment. The VA funding fee and prepaids (insurance, taxes, special assessments, HOA fees) are excluded from the calculation. Term reductions and ARM-to-fixed loans are not exempt; however, for an IRRRL resulting in the same or higher monthly PI payment, recoupment is met when the veteran incurs no fees, closing costs, or expenses other than taxes, escrow amounts, and the funding fee.
Loan Comparison Statement	The veteran (and spouse, if applicable) must receive an initial Loan Comparison Statement within 3 days of the initial application, acknowledged by the veteran (and spouse); a final statement is executed with closing documents. Recoupment for disclosure differs from the guaranty calculation: the statement must show the recoupment period (in months) for all fees, expenses, and closing costs including taxes, escrow amounts, and the VA funding fee.
Net Tangible Benefit	NTB must be met as follows: (1) Fixed-to-fixed — 50 bps rate reduction and 36-month recoupment. (2) ARM-to-fixed — no rate reduction required (rate may increase); costs recouped within 36 months; if the PI payment stays the same or increases, the veteran may not pay loan costs other than taxes, escrow amounts, and the funding fee. Refer to UFF VA IRRRL guidelines for detailed NTB requirements.
Qualified Mortgage (QM)	(i) The loan being refinanced was originated at least 6 months before the new loan's closing date; (ii) at least 6 payments have been made on the original loan; (iii) the recoupment period for all allowable fees and charges financed or paid at closing does not exceed 36 months.
Max Mortgage Calculation	New loan amount may include unpaid principal balance, accrued interest for the month due, allowable closing costs*, prepaid expenses, up to 2% discount points, late charges, and the VA funding fee. Late payments are not permitted. *Allowable closing costs: appraisal, credit report, flood determination life-of-loan service (not flood determination fee), MERS, recording, recording taxes, mail/express fees exceeding per diem, survey (n/a condos), title exam, title insurance, title endorsements, transfer tax, property compliance inspection. Ineligible fees: flat fees charged by second lien holders to subordinate existing secondary financing (must be paid by the veteran); subordination processing, preparation, or any 3rd-party fees (veteran cannot pay); appraisals for reconsideration, attorney, brokerage, consulting, tax service, escrow, underwriting, document, processing, redraw, wire, settlement, trustee, duplicate fees, and all others not on the allowable list. Refer to UFF VA borrower fee policy for additional information on lender-paid compensation.
Cash-Out Refinance	Not allowed. Minor adjustment at closing not to exceed \$500 (Texas = \$0).

CREDIT	
Credit Profile	Credit qualifying IRRRLs: tri-merged credit report required, no older than 120 days at closing. Non-credit qualifying IRRRLs: a mortgage rating is required for the subject lien only.
Social Security Numbers	Required for all borrowers.
CAIVRS	CAIVRS clearance must be obtained for all borrowers.
Credit Score	A credit score is not required but will be used for pricing.
Bankruptcy	Active Chapter 7 not permitted — must be discharged. Chapter 13 permitted with court approval and satisfactory trustee payment history.
Judgments / Liens	All outstanding judgments and liens must be paid prior to or at closing — including judgments and tax liens of a non-purchasing spouse.
Mortgage History / Seasoning	GNMA requires 6 months payment seasoning on the loan being refinanced and 210 days elapsed between the first payment due date of the original loan and the note date of the new loan. All liens on the subject property must be verified and paid current through the month due of closing. Modified loans: seasoning is based on the loan as modified, not the original loan (e.g., a loan closed 02/17/2018 with a modification completed 11/05/2019 cannot be refinanced as an IRRRL until the 11/05/2019 modification has been seasoned).
Non-Borrowing Spouse	May remain on title when refinancing. No party other than the borrower or their spouse may have a vested interest in the property.

CREDIT	
Credit Qualifying VA IRRRL	Applies if the monthly PITI payment increases by 20% or more; must meet all standard VA credit requirements per UFF guidelines. • Non-traditional credit: not allowed. • Debt ratio: max DTI 41% without compensating factors; 50% with compensating factors. • Income: residual income requirements apply by region/loan amount/property type (see chart below). Pay stubs covering a 30-day period, 2 years W-2s, 2 years tax returns for self-employed borrowers, telephone VVOE for current employment, 4506-C signed at closing. • Non-taxable income: Social Security, pension, workers comp, and disability retirement income must be grossed up. • Housing events: foreclosure / short sale / deed-in-lieu / pre-foreclosure sale must be seasoned a minimum of 2 years. • Minimum payment: 5% of outstanding balance for revolving accounts if no payment indicated. • Non-borrowing spouse: credit report required in community property states; debts added to DTI. Community property states: AZ, CA, ID, LA, NV, NM, TX, WA, WI.
Non-Credit Qualifying VA IRRRL	Transactions exceeding the Higher Priced threshold are permitted. Income is not verified — the URLA must not include income in Section V or the REO schedule in Section VI; the file cannot contain paystubs, W-2s, tax returns, etc. If the initial URLA reveals income or the file contains evidence of current income, convert to credit qualifying and compute ratios. A valid SSN must be confirmed without income documentation. Assets are not required to be verified. A repayment plan must be in place and documented for any IRS tax lien on credit or title.

RESIDUAL INCOME (IF PITI INCREASE EXCEEDS 20%)	
Loan Amounts \$79,999 & Below	Family size 1: NE \$390 / MW \$382 / S \$382 / W \$425. Size 2: \$654 / \$641 / \$641 / \$713. Size 3: \$788 / \$772 / \$772 / \$859. Size 4: \$888 / \$868 / \$868 / \$967. Size 5: \$921 / \$902 / \$902 / \$1,004. Above 5: add \$75 per additional member up to a family of seven.
Loan Amounts \$80,000 & Above	Family size 1: NE \$450 / MW \$441 / S \$441 / W \$491. Size 2: \$755 / \$738 / \$738 / \$823. Size 3: \$909 / \$889 / \$889 / \$990. Size 4: \$1,025 / \$1,003 / \$1,003 / \$1,117. Size 5: \$1,062 / \$1,039 / \$1,039 / \$1,158. Above 5: add \$75 per additional member up to a family of seven.
Regions	States are broken down by region — check with Underwriting for the breakdown.
Verbal VOE	A verbal VOE is required on all loans.
URLA	Complete current employment and REO schedule. Income, assets, and liabilities are omitted on non-credit qualifying IRRRLs.

GENERAL	
Underwriting	Underwritten by a VA Automatic and LAPP approved underwriter.
IRRRL Eligible Borrowers	Generally, the parties obligated on the original VA loan must be the same parties on the new loan and the veteran must still own the property. Permitted ownership changes with proper documentation: • Unmarried vet → veteran & new spouse: YES • Unmarried vet → spouse only (deceased vet): NO • Vet → different veteran substituting entitlement: YES • Vet & spouse → divorced veteran only: YES • Vet & spouse → vet & different spouse: YES • Vet & spouse → spouse only (deceased vet): YES (spouse must own & occupy) • Vet & spouse → different spouse only (deceased vet): NO • Vet & non-vet (joint) → veteran only: YES • Vet & non-vet (joint) → non-veteran only: NO
Surviving Spouse	VA IRRRL permitted provided the surviving spouse was obligated on the original note. A death certificate for the veteran must be in file to close the new loan in the surviving spouse's name with the case number in the veteran's name.
Non-Occupant Co-Borrowers	Not allowed.
Occupancy	Investment or secondary residences are permitted. The veteran must certify the subject property was previously owner occupied at VA 26-1802(a) Addendum to URLA item 25.2(c).

GENERAL	
Guaranty / Entitlement	The loan being paid off must be the loan indicated on the COE; a copy of the note may be required to verify the LIN number. VA will guarantee 25% of the new IRRRL loan amount regardless of the veteran's available entitlement and/or the conforming loan limits.
VA IRRRL Case Assignment	Evidence of the new case number is required to verify the veteran's name and address match the new application.
Cash to Close	UFF does not require documentation of funds at closing.
Prepayment Penalty	Not permitted.
Loan Terms Available	15-, 20-, 25-, and 30-year fixed.
Qualifying Fixed Products	Qualify at note rate.
STATE SPECIFIC	
Kansas	All owner-occupied properties require the tax assessor's statement of value to meet Kansas law. If the loan amount (including funding fee) exceeds the tax assessor's statement of value, provide written notice to the consumer regarding high-LTV mortgages and the availability of credit counseling.
Texas	If the existing first or second mortgage is subject to Texas Section 50(a)(6), VA financing is ineligible — once cash out, always cash out. The title policy will reference Section 50(a)(6) or Article XVI of the Texas Constitution effective January 1, 1998.
West Virginia	(1) Loans where the value is less than the combined loan amounts are ineligible; maximum LTV/CLTV is 100%. (2) All VA IRRRL transactions require credit qualifying.